

Understanding Limited Liability Partnerships (LLPs) in Kenya

A Practical Guide to Formation, Registration, Governance and Compliance

Prepared for the LexReg Portal

A Limited Liability Partnership (LLP) is a distinct form of business association governed principally by Kenya's Limited Liability Partnership Act, 2011. It combines partnership-style internal organisation with separate legal personality.

Upon registration, an LLP becomes a body corporate with legal personality separate from its partners. It can therefore own property, enter contracts and continue notwithstanding changes in its partners, subject to the Act.

This makes an LLP fundamentally different from a general partnership and from a Limited Partnership (LP). LexReg should therefore treat an LLP as its own entity type and lifecycle.

1. What Is an LLP?

Two or More Partners
↓
LLP Agreement / Statutory Rules
↓
Registered LLP
↓
Separate Legal Personality
↓
Governance + Compliance

Current BRS guidance describes an LLP as a hybrid between a partnership and a company. An LLP must have at least two partners and at least one manager. A manager may also be a partner.

2. Separate Legal Personality

The LLP is legally distinct from its partners. This means the LLP's rights, obligations, assets and liabilities should be recorded separately from the personal assets and obligations of individual partners.

For LexReg, the LLP should therefore have its own Entity Profile, document vault, compliance calendar, assets, contracts, employees and governance records, while its partners remain linked Person or Corporate Entity Profiles.

3. LLP vs General Partnership vs Limited Partnership

- General Partnership: partners carry on business in common under the Partnerships Act and do not obtain the same separate body-corporate status as an LLP.
- Limited Partnership (LP): has at least one General Partner with unlimited liability and at least one Limited Partner whose liability is limited subject to the Partnerships Act.

- Limited Liability Partnership (LLP): a separate body corporate with legal personality distinct from its partners.
- An LLP should therefore not be described merely as a general partnership with limited partners.

4. Who Are the Partners?

An LLP must have at least two partners throughout its lifetime. LexReg should capture each partner as a linked profile and record the capacity and rights attaching to that person's participation.

- full legal name / corporate name;
- identity or incorporation details;
- KRA PIN and relevant tax information;
- physical, postal and contact addresses;
- occupation/profession where applicable;
- date of admission;
- capital or other contribution;
- profit/distribution entitlement;
- voting and governance rights;
- authority to act for the LLP;
- beneficial ownership/control information where applicable; and
- date and reason for cessation.

5. The LLP Manager

Current BRS registration guidance requires at least one manager. The manager may also be a partner.

LexReg should distinguish the Manager role from the Partner role even where one person occupies both capacities.

- manager's full name;
- ID/passport or relevant identification;
- KRA PIN where applicable;
- contact and address details;
- date of appointment;
- whether the manager is also a partner;
- authority and operational responsibilities; and
- date and reason for cessation.

6. The LLP Agreement

An LLP Agreement should define the internal commercial and governance relationship among the partners, subject to mandatory law. For LexReg, it should be converted into structured governance rules rather than merely stored as a PDF.

- business and objects;

- partners and contributions;
- profit and loss allocation;
- drawings/distributions;
- management responsibilities;
- voting and decision thresholds;
- authority to bind the LLP;
- appointment and role of managers;
- banking mandates;
- accounts and reporting;
- admission and cessation of partners;
- transfer of partnership interests;
- conflicts of interest;
- dispute resolution;
- continuity and succession;
- winding up; and
- amendment of the agreement.

Where the agreement is silent, applicable statutory default provisions may govern. LexReg should therefore flag important governance matters that have not been expressly addressed.

7. Name of the LLP

The registered name must end with the expression 'Limited Liability Partnership' or the abbreviation 'LLP'. The proposed name is subject to the Registrar's naming requirements.

LexReg should capture proposed names, the approved name, registration number and any subsequent name changes.

8. Registered Office and Business Address

LexReg should maintain current and historical address information for the LLP.

- registered/physical address;
- postal address;
- email address;
- telephone number;
- other places of business where relevant; and
- effective dates of changes.

9. Registration Information

Current BRS guidance identifies the following core information for LLP registration:

- proposed name (BRS guidance asks for at least three options);
- proposed nature/objective of business;

- business email, telephone and physical address;
- full names and identification numbers of manager(s) and partners;
- emails, physical addresses and occupations of managers and partners;
- passport photographs of managers and partners; and
- sector-specific supporting approval where applicable, such as a Law Society of Kenya no-objection letter for a law firm.

The online process generates Form LLP-1, which is signed and uploaded as part of the application.

10. Suggested Registration Workflow

Create / Identify Partner Profiles
↓
Proposed LLP Name
↓
Nature of Business
↓
Registered / Business Address
↓
Manager(s)
↓
Partner Details
↓
Sector-Specific Approval if Triggered
↓
Generate LLP-1
↓
Review, Sign & Upload
↓
Submit / Pay
↓
Certificate of Incorporation
↓
Create LexReg LLP Workspace

Portal screens and administrative steps can change. LexReg should therefore separate stable legal/data requirements from BRS screen-specific instructions that can be updated independently.

11. Core Documents

- identity documents for individual partners and manager(s);
- KRA PIN documentation where applicable;
- passport photographs where required;

- for corporate partners, incorporation and current verification documents;
- LLP Agreement where prepared;
- sector-specific approval/no-objection documents where applicable;
- executed LLP-1 generated by the registration process; and
- Certificate of Incorporation after registration.

LexReg should use conditional document requests rather than requiring every possible document from every LLP.

12. Corporate Partners

Where a partner is a company or another legal entity, LexReg should link the relevant Corporate Entity Profile.

For a Kenyan company, a practical initial verification set may begin with the Certificate of Incorporation, KRA PIN and current official search/CR12, with further authority or constitutional documents requested where necessary.

The natural person authorised to act for the corporate partner should be separately identified and the authority documented where required.

13. OCR and Reuse of Existing Profiles

ID / Corporate Documents
↓
OCR + Structured Extraction
↓
Review & Verify
↓
Assign Partner / Manager Role
↓
LLP-Specific Information
↓
Registration + Workspace

Where a partner or manager already has a verified LexReg profile, stable identity information should be reused. The user should only provide information specific to the LLP or information that has changed.

14. Beneficial Ownership

LLPs are subject to beneficial ownership requirements. The 2023 Limited Liability Partnership (Beneficial Ownership Information) Regulations require an LLP to take reasonable steps to identify and verify its beneficial owners and maintain prescribed particulars.

The register includes information such as full name, identification number, PIN, nationality, date of birth, addresses, contacts, occupation/profession, nature of control or influence, and the dates a person became or ceased to be a beneficial owner.

The prescribed forms include LBOF1 for the register, LBOF2 for changes of particulars, LBOF3 for a new beneficial owner, LBOF4 for cessation and other forms for specified circumstances.

LexReg should therefore maintain a dedicated Beneficial Ownership Register linked to, but distinct from, the Partner Register.

15. Partner Register

Partner – Active
↓
Contribution + Rights + Authority
↓
Change / Cessation Event
↓
Partner – Former
↓
Preserve Historical Record

Partner history should not be overwritten. LexReg should retain admission and cessation dates, contributions, governance rights and supporting documents.

16. Manager Register

The Manager Register should record current and former managers, appointment and cessation dates, contact particulars, authority and whether the manager simultaneously holds partner status.

17. Decision-Making and Governance

The LLP Agreement should drive the decision matrix. LexReg should identify matters requiring partner approval, manager action or specified thresholds.

- ordinary business decisions;
- admission or cessation of partners;
- changes in contributions or economic rights;
- major contracts;
- borrowing and security;
- bank mandates;
- acquisition or disposal of major assets;
- opening or closing business locations;
- appointment/removal of managers;
- amendment of the LLP Agreement; and
- winding up.

Significant decisions should be supported by written resolutions or meeting records even where a company-style board structure is not required.

18. Financial Governance

- capital/contribution accounts;
- partner loans;
- drawings and distributions;
- bank accounts and mandates;
- books of account;
- budgets;
- financial statements;
- asset register;
- tax records; and
- supporting approvals for significant expenditure.

The LLP's financial records should remain distinct from partners' personal finances because the LLP is a separate legal entity.

19. Annual Compliance

BRS guidance states that LLPs have continuing annual compliance obligations. Current BRS compliance material also identifies annual returns for LLPs, while older BRS registration guidance refers to an annual declaration of solvency.

Because the statutory framework and BRS implementation have been amended over time, LexReg should map the currently operational filing service and form at implementation and update the workflow when BRS requirements change.

The compliance calendar should nevertheless treat annual LLP compliance as a core recurring event rather than an optional task.

20. Changes in LLP Particulars

Current BRS registration guidance states that an LLP must notify the Registrar of changes within 14 days. LexReg should create event-driven filing tasks for changes in registered particulars.

- partner admission or cessation;
- manager appointment or cessation;
- partner/manager particulars;
- registered address;
- LLP name;
- beneficial ownership information; and
- other registrable particulars.

Change Occurs
↓
Record Effective Date
↓

Change Occurs
Generate Required Approval / Form
↓
Notify Registrar
↓
Update LexReg Registers
↓
Preserve Previous Particulars

21. Beneficial Ownership Changes

Beneficial ownership should have its own change workflow because changes may arise without a simple one-to-one change in registered partners.

LexReg should detect potential beneficial ownership changes when:

- a partner is admitted or exits;
- economic rights change;
- voting or appointment rights change;
- a corporate partner changes ownership/control;
- a person acquires or loses significant influence/control; or
- the LLP receives updated information from a beneficial owner.

22. Tax Compliance

An LLP's tax treatment should be managed according to current Kenyan tax law and KRA requirements. LexReg should maintain the LLP's tax profile separately from those of its individual or corporate partners.

The compliance engine should ask activity and threshold questions rather than permanently assume one fixed set of tax obligations.

23. Professional LLPs

LLPs are commonly used by professional practices. BRS specifically notes professional bodies such as advocates and certified secretaries as examples of users of the structure.

Where a profession is regulated, LexReg should activate a sector-specific module covering:

- professional regulator;
- practising certificates/licences;
- firm approval/no-objection requirements;
- professional indemnity insurance where applicable;
- restrictions on ownership or management;
- client-account requirements where applicable; and
- professional conduct obligations.

24. Employees and Operational Compliance

If the LLP employs staff, operates premises, processes personal data, owns vehicles or carries on regulated activities, those facts generate additional obligations.

- employment and payroll;
- data protection;
- county permits;
- sector licences;
- health and safety;
- insurance;
- property and leases;
- consumer protection;
- contracts; and
- intellectual property.

25. Assets, Contracts and Liability

Because the LLP has separate legal personality, assets acquired by the LLP should be recorded as LLP assets, and contracts should identify the LLP itself as the contracting entity where appropriate.

LexReg should maintain:

- Asset Register;
- Contract Register;
- Borrowing/Security Register where relevant;
- Insurance Register; and
- Litigation/Dispute Register where appropriate.

26. Admission of a New Partner

Proposed Partner
↓
Identity / Corporate Due Diligence
↓
Partner Approval
↓
Contribution + Rights
↓
Amend / Accede to LLP Agreement
↓
Registrar Filing
↓
BO Review

Proposed Partner
↓
Activate Partner

The workflow should update both the Partner Register and, where triggered, the Beneficial Ownership Register.

27. Cessation of a Partner

Cessation should trigger review of financial entitlements, authority, beneficial ownership, banking, contracts, licences and regulatory filings.

- effective cessation date;
- notice/resolution/agreement;
- settlement of capital or partner accounts;
- removal of authority and bank mandates;
- Registrar notification;
- beneficial ownership review;
- professional regulator update where applicable; and
- preservation of historical records.

28. Appointment or Cessation of a Manager

Manager changes should be separately tracked from partner changes. A manager may be a partner, but the two roles are not identical.

LexReg should update both roles where the same person changes capacity.

29. Name and Address Changes

Changes of name or registered particulars should be treated as controlled governance and filing events. The old name/address should remain available as historical data rather than being overwritten.

30. Winding Up / Cessation

Closing an LLP is more than changing its status to inactive. The workflow should address:

- partner decision or other legal trigger;
- assets and receivables;
- creditors and liabilities;
- employees;
- contracts;
- tax closure;
- licences and professional approvals;
- bank accounts;
- beneficial ownership records;
- Registrar cessation/strike-off/winding-up process as applicable; and

- retention of final records.

31. How LexReg Can Help

Formation & Registration

- partner and manager onboarding;
- corporate-partner linking;
- OCR extraction;
- LLP Agreement builder/upload;
- sector-specific approval triggers;
- LLP-1 registration workflow; and
- Certificate storage.

Governance

- Partner Register;
- Manager Register;
- contribution/economic rights register;
- authority and decision matrix;
- resolutions and meeting records;
- LLP Agreement rule extraction;
- conflict register; and
- asset/contract registers.

Beneficial Ownership

- BO identification questionnaire;
- Beneficial Ownership Register;
- LBOF form workflows;
- change-event detection;
- corporate-partner look-through prompts; and
- BO compliance reminders.

Compliance

- annual LLP filing reminders;
- 14-day change-event alerts;
- tax calendar;
- professional-regulator compliance;
- employment compliance;
- data-protection obligations;
- licence/permit renewals; and
- winding-up/cessation workflow.

Legal & Governance Review

- fewer than two partners;
- missing or outdated manager information;
- outdated registered particulars;
- missing annual compliance filings;
- incomplete beneficial ownership information;
- unrecorded partner changes;
- unclear authority or LLP Agreement provisions;
- professional-regulatory gaps;
- tax/employment/licensing gaps; and
- asset or contract records inconsistent with the LLP's separate legal personality.

32. Suggested LexReg Data Architecture

Individual / Corporate Profiles
↓
LLP Entity Profile
↓
Partner Register
↓
Manager Register
↓
LLP Agreement Rules
↓
Beneficial Ownership Register
↓
Assets + Contracts + Employees
↓
Compliance Calendar
↓
Legal & Governance Audit

This architecture permits a partner to participate in multiple LLPs, companies, trusts or other entities under one LexReg account while each LLP maintains its own distinct legal and compliance workspace.

33. The Key Principle

The LLP combines partnership flexibility with separate legal personality.

Partners establish the LLP
↓
The LLP becomes a separate legal person

Partners establish the LLP
↓
The LLP Agreement governs the internal relationship
↓
Manager(s) and partners perform defined roles
↓
Beneficial ownership identifies natural persons who ultimately own/control
↓
Compliance continues throughout the LLP lifecycle

For LexReg, the critical design objective is therefore to preserve the distinction between the LLP itself, its partners, its manager(s) and its beneficial owners, while connecting all four within one coherent governance and compliance system.

Important Note

This guide provides general information about Limited Liability Partnerships in Kenya. It does not constitute legal, tax, professional-regulatory or financial advice for a particular LLP. BRS procedures, fees and operational forms may change. Current registration and compliance requirements should be verified when action is taken.

Key Legal and Regulatory References

- Limited Liability Partnership Act, 2011 – Business Registration Service: <https://brs.go.ke/download/limited-liability-partnership-act-no-42-of-2011/>
- BRS – Registration of a Limited Liability Partnership Guide: <https://brs.go.ke/wp-content/uploads/2023/07/LLP.pdf>
- BRS – Companies Registry: <https://brs.go.ke/companies-registry/>
- BRS – LLP Beneficial Ownership Regulations, 2023: <https://brs.go.ke/wp-content/uploads/2023/11/L.-N.-163-The-limited-Liability-Partnership-Beneficial-Ownership-Regulations-2023.pdf>
- BRS – Forms (LBOF Forms): <https://brs.go.ke/forms/>
- BRS – Guides and Handbooks: <https://brs.go.ke/guides-and-handbooks/>